DBS Focus

Taiwan-Singapore: Asia's new growth corridor

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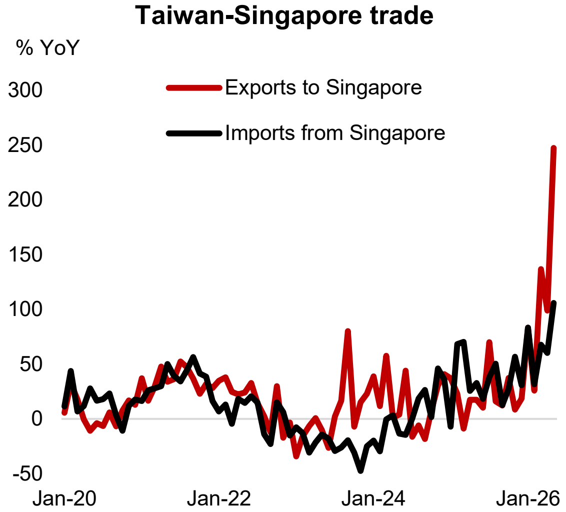
- *Taiwan–Singapore is emerging as one of Asia's fastest-growing trade and investment corridors.*
- *AI-driven demand and the continued evolution of semiconductor supply chains are powering rapid growth.*
- *Singapore's role as a regional hub for trade, logistics, finance and business continues to accelerate corridor expansion.*
- *Bilateral trade is on track to double this year, while two-way investment flows are expected to more than double.*
- *Taiwan has become Singapore's largest trading partner, while Singapore is poised to become Taiwan's fourth-largest trading partner this year.*
- *Singapore is on track to become Taiwan's largest source of FDI and its second-largest destination for ODI this year.*

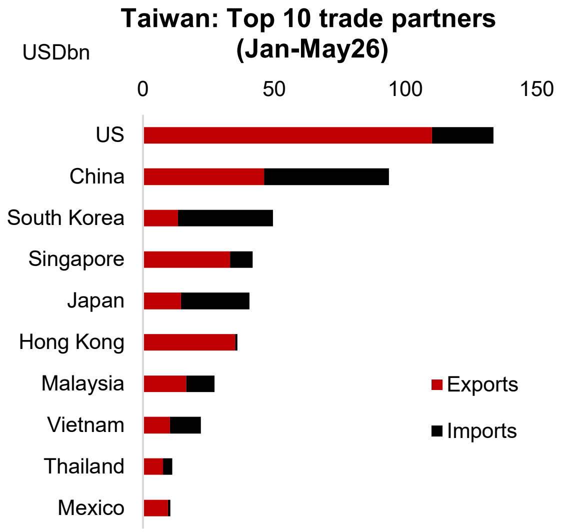
The Singapore–Taiwan corridor is emerging as one of Asia's fastest-growing trade and investment relationships. The rapid expansion of the AI ecosystem, deeper semiconductor supply-chain integration and diversification, and Singapore's growing role as a regional trade, logistics, finance and business hub are strengthening economic linkages between the two economies at an unprecedented pace.

Trade

Bilateral trade momentum strengthened sharply this year. Taiwan's exports to Singapore surged 116.7% yoy during Jan–May to USD33.2 bn, while imports from Singapore increased 69.4% to USD8.6 bn. If current trends continue, Taiwan's exports to Singapore could approach USD80 bn this year and imports from Singapore could reach USD20 bn, bringing total bilateral trade to roughly USD100 bn. Singapore would consequently become Taiwan's fourth-largest trading partner, behind only the US, China, and South Korea.

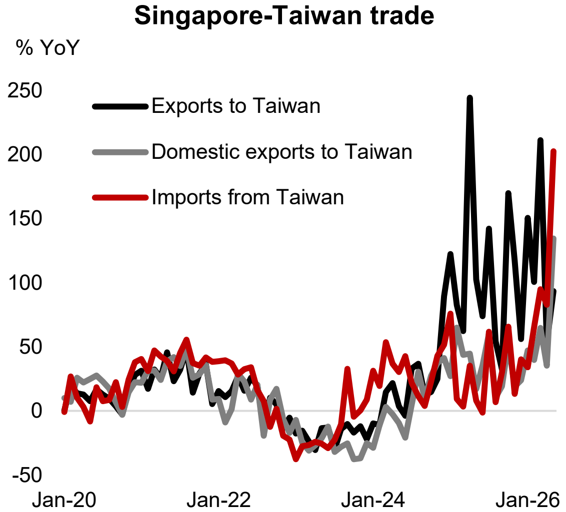


Sources: CEIC, DBS



Sources: CEIC, DBS

From Singapore's perspective, the relationship is even larger. Singapore's trade statistics capture not only domestic exports and imports but also goods transshipped through the city-state. On this basis, both Singapore's exports to Taiwan and imports from Taiwan are likely to exceed USD100 bn this year, implying total bilateral trade of more than USD200 bn. Taiwan has been Singapore's largest trading partner since 2025 and is likely to retain that position through 2026.



Sources: CEIC, DBS

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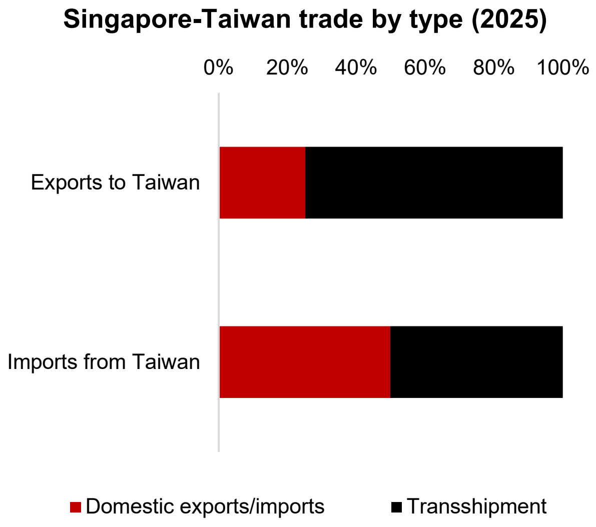
A major driver of this growth is Singapore's expanding role as a regional distribution hub for information and communications technology (ICT) products. World-class logistics infrastructure, extensive shipping and air-cargo connectivity, efficient customs procedures, and a tariff-free trading environment have made Singapore a preferred gateway for technology supply chains serving Southeast Asia, India, the Middle East, and Europe.

The scale of re-export activity underscores Singapore's intermediary role. Approximately 75% of Singapore's exports to Taiwan originate from third countries, while roughly half of its imports from Taiwan are subsequently re-exported. As Taiwanese technology companies expand overseas, Singapore is becoming an increasingly important platform for distributing ICT products across the region.

Beyond its traditional role as a trading hub, Singapore is increasingly becoming a major source of end-demand for Taiwanese technology products. As Southeast Asia's largest cloud-computing and data-centre hub, Singapore continues to attract substantial investment from hyperscalers and digital infrastructure providers, including AWS, Google, and Microsoft. Its stable regulatory environment, concentration of multinational headquarters, and extensive submarine cable network make Singapore one of Asia's most attractive destinations for AI infrastructure investment.

Roughly half of Singapore's imports from Taiwan are consumed domestically, reflecting strong local demand for AI servers, semiconductors, advanced packaging services, and other technology products in which Taiwan holds global leadership.

The development of the Johor–Singapore Special Economic Zone (JS-SEZ) further reinforces this trend. With greater land availability and lower power costs, Johor is attracting a growing pipeline of data-centre and advanced manufacturing investments. Singapore serves as the primary logistics, supply-chain, and financing gateway for many of these projects, generating additional demand for AI servers, semiconductors, and other technology products sourced from Taiwan.



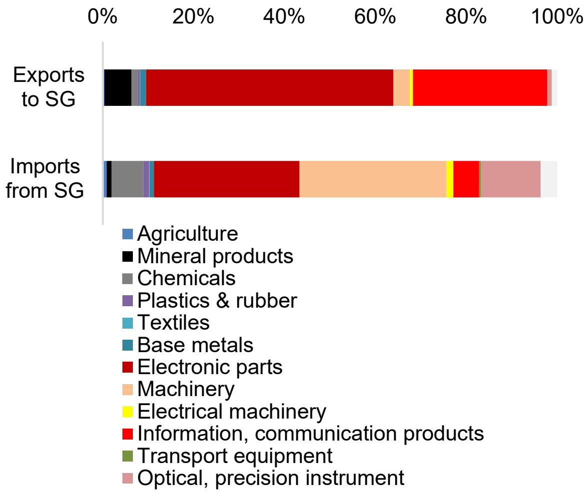
Sources: CEIC, DBS

Deepening integration between Singapore's and Taiwan's semiconductor industries is another important driver of bilateral trade growth. Singapore has become an increasingly important manufacturing and operational hub within the global semiconductor ecosystem. Micron operates NAND flash production facilities in Singapore and is developing advanced HBM packaging capabilities there, while Applied Materials is expanding its semiconductor equipment manufacturing footprint.

At the same time, Taiwan continues to strengthen its position across advanced logic chip manufacturing, DRAM/HBM production, and advanced packaging services. Micron is increasing DRAM/HBM production capacity in Taiwan, while leading Taiwanese semiconductor firms continue to invest heavily in advanced foundry processes and advanced packaging capabilities.

Trade patterns reflect this growing complementarity. Taiwan's exports to Singapore are concentrated in electronic components (54%) and information and communication products (30%), while imports from Singapore are dominated by electronic components (32%), machinery (32%), and optical and precision instruments (13%).

Taiwan-Singapore trade by product (2025)



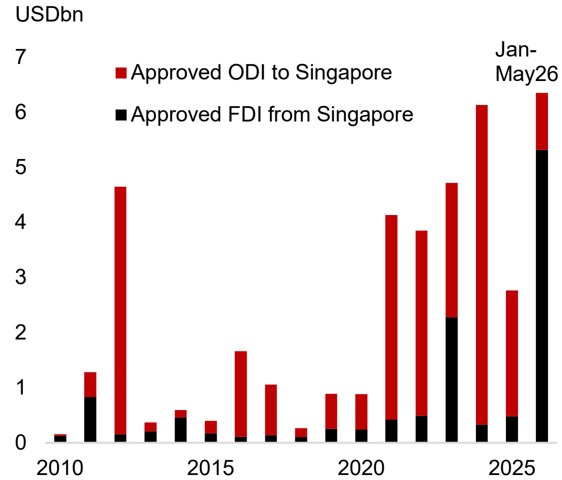
Sources: CEIC, DBS

Investment

The Singapore–Taiwan investment corridor is expanding as rapidly as trade. Taiwan's approved foreign direct investment (FDI) inflows from Singapore surged nearly sixteen-fold yoy to USD5.3 bn during Jan–May, while Taiwan's approved outbound investment (ODI) to Singapore increased by a similar magnitude to USD1.0 bn. Singapore's investment into Taiwan could exceed USD7 bn this year, while Taiwan's investment into Singapore could surpass USD2 bn, bringing total bilateral investment flows to around USD10 bn. On a single-country basis, Singapore is on track to become Taiwan's largest source of FDI and second-largest destination for outbound investment after the US.

The relationship appears even stronger when viewed through Singapore's investment statistics, which capture investments routed through third jurisdictions and regional holding structures. On this basis, Singapore's ODI into Taiwan could reach approximately USD7 bn this year, while Taiwanese FDI into Singapore could approach USD6 bn, implying total bilateral investment flows comfortably exceeding USD10 bn.

Taiwan-Singapore direct investment



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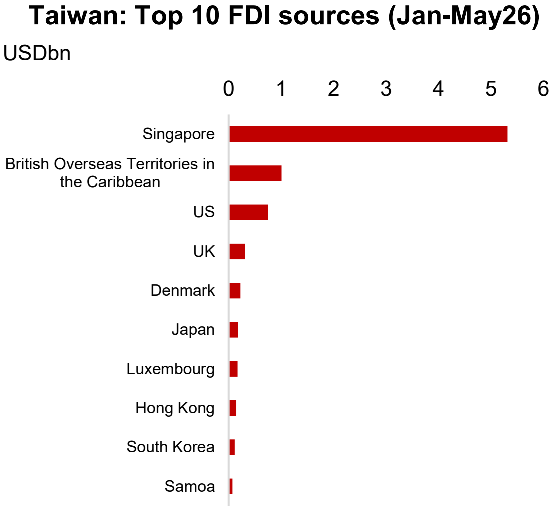
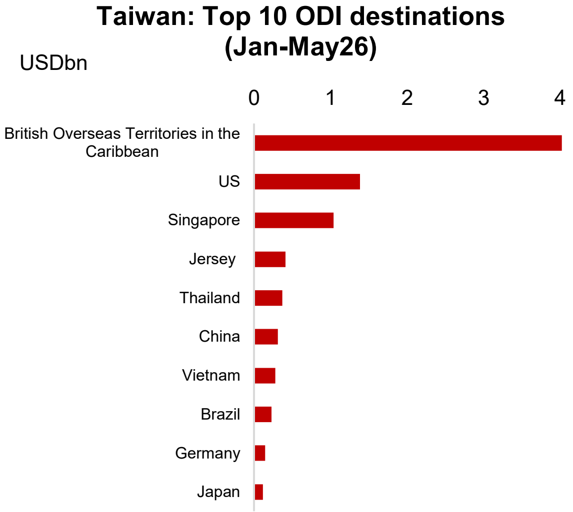


Sources: CEIC, MOEA, DBS



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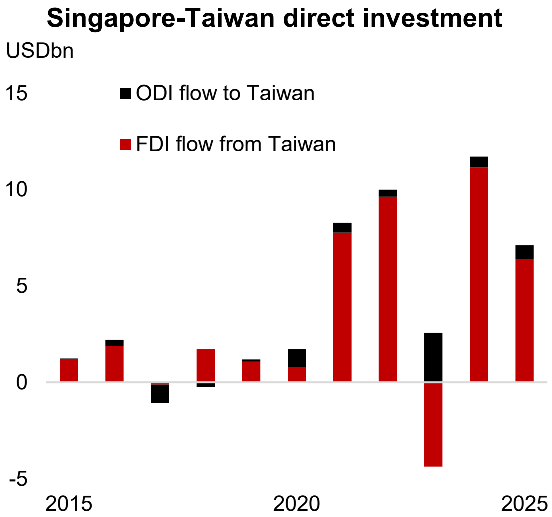

Sources: CEIC, DBS

Singapore's growing importance as a regional business hub is a major factor supporting investment growth. An increasing number of multinational corporations and Taiwanese firms use Singapore as their headquarters for Southeast Asian and broader Asia-Pacific operations. The city-state offers a competitive tax framework, strong legal protections, and a highly business-friendly operating environment.

Singapore is also Taiwan's most important institutional economic partner in Asia, linked through the ASTEP economic partnership agreement, which closely resembles a free-trade agreement. As Taiwanese companies continue to internationalise, Singapore is becoming an increasingly important base for supply-chain management, regional treasury centres, and investment holding structures.

Recent transactions illustrate this trend. In April, Google invested USD855 mn through its Singapore subsidiaries to support data-centre and semiconductor procurement activities in Taiwan. In May, Micron injected USD4.3 bn through its Singapore holding company to expand operations in Taiwan. In the opposite direction, Foxconn invested USD350 mn through Singapore to support manufacturing expansion in Vietnam.

AI-related investment is becoming one of the most important drivers of bilateral capital flows. As AI adoption accelerates, demand for AI infrastructure, semiconductors, and other technology hardware is rising rapidly in Singapore, Taiwan, and their major trading partners.

Recent investments by firms such as Google and Micron in Taiwan provide clear examples of this trend. Taiwanese companies are also expanding their presence in Singapore's AI infrastructure ecosystem. A notable example is BizLink's USD850 mn acquisition of Singapore-based Interplex Datacom, strengthening its position in data-centre connectivity and AI-related infrastructure.

Semiconductor supply-chain diversification strategies driven by geopolitical considerations provide an additional structural tailwind. As Taiwanese semiconductor companies seek more geographically diversified and resilient production networks, Singapore has emerged as a preferred destination owing to its political stability, strategic neutrality, and well-established semiconductor ecosystem.

Several Taiwanese semiconductor firms have expanded their presence in Singapore in recent years, extending beyond AI-related activities. UMC and Vanguard have invested in mature-node semiconductor manufacturing facilities, while King Yuan established its first overseas semiconductor testing operation in the city-state.

Conclusion

The Singapore–Taiwan economic relationship is evolving beyond a traditional trade and investment partnership into a strategically important technology corridor centred on AI, semiconductors, and regional supply-chain management. Continued expansion of AI infrastructure, deeper semiconductor supply-chain integration and diversification, and Singapore's role as Asia's leading trade and business hub are likely to drive sustained growth in bilateral trade and investment flows. As the two economies become increasingly interconnected, their partnership is emerging as a critical node within Asia's evolving technology networks.

Taiwan-Singapore Direct Investment Cases (2025-2026)

<table>
<tr><th></th><th>Investor</th><th>Year</th><th>Value (USD mn)</th><th>Sector</th></tr>
<tr><td rowspan="8">ODI to Singapore</td><td rowspan="2">Foxconn</td><td>2025</td><td>1,489</td><td>Mobile phone manufacturing (India)</td></tr>
<tr><td>2026</td><td>350</td><td>Electronic product manufacturing (Vietnam)</td></tr>
<tr><td>Radiant</td><td>2025</td><td>100</td><td>Wholesale of electronic components; treasury center operations</td></tr>
<tr><td>KYEC</td><td>2025</td><td>78</td><td>Semiconductor packaging and testing</td></tr>
<tr><td>WT Microelectronics</td><td>2025</td><td>470</td><td>Wholesale, retail, and distribution of semiconductors and electronic components</td></tr>
<tr><td>ASUS</td><td>2026</td><td>500</td><td>Sales of 3C products</td></tr>
<tr><td>BizLink</td><td>2026</td><td>850</td><td>Data center infrastructure</td></tr>
<tr><td rowspan="3">FDI from Singapore</td><td rowspan="2">Google</td><td>2026</td><td>800</td><td>Data processing and electronic information services</td></tr>
<tr><td>2026</td><td>55</td><td>Semiconductor inventory procurement</td></tr>
<tr><td>Micron</td><td>2026</td><td>4,330</td><td>Memory chip manufacturing</td></tr>
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Sources: MOEA, news reports, DBS

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DBS Flash

India: Terms of trade pressure eases, constructive BOP dynamics

30 June 2026

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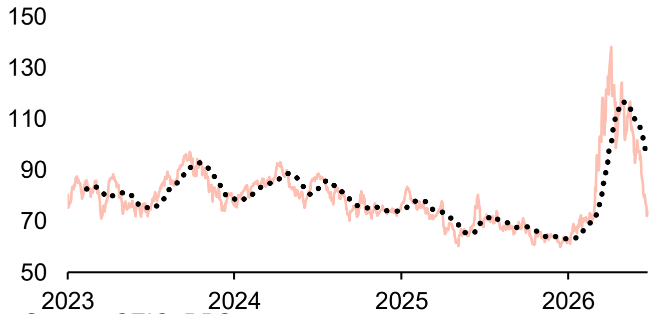
- *Global oil benchmarks are down by more than a third.*
- *This would help mitigate terms-of-trade pressures and strengthen the current account position.*
- *Host of BOP-accretive measures will help with the capital account math.*
- *Rupee is likely to benefit in the near-term, but we remain cautious further out.*
- *Monsoon watch. July-August rainfall will be important for crop output.*
- *Rate hike expectations are set to fade. We now expect an extended pause, with a downward revision in RBI CPI forecasts.*
- ***Forecast implications:** We revise macro forecasts to reflect the impact of lower oil prices.*

OIL PRICES OFF THE BOIL

Financial markets have been driven by the recent developments on the US-Iran developments, while global oil prices have beat a sharp retreat, pricing in the likelihood that peak of the geopolitical risk has passed. That said, it is too soon to conclude that conflict-related risks have been fully addressed.

A sharp drawdown in inventories, alternate fuel sources and diversion of part of the supplies from other pipeline/ port routes have helped to keep a lid on global benchmarks. Brent crude prices have retreated by about ~35% by late-Jun26, touching a four-month low, after the US-Iran signed the Memorandum of Understanding (MOU), entailing a 60-day ceasefire.

Crude Oil: Brent ($bl) & 30D MA



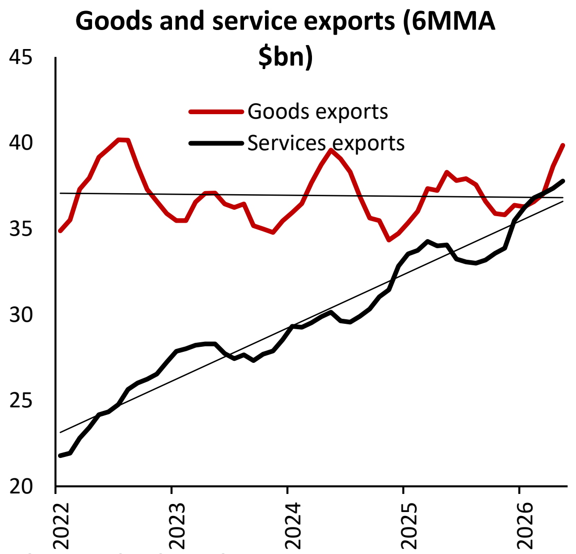
Source: CEIC, DBS

Lower oil prices have eased the terms of trade pressure on India, necessitating a relook across our macro assumptions. The key assumption behind these revisions is that the US-Iran-Middle East tensions have subsided, with oil likely to average $80-85bp in 2026, vs prevailing FY27 average at $104pb (FYTD). Any protracted re-escalation in tensions is a key risk.

REVISITING MACRO ASSUMPTIONS, CURRENT ACCOUNT RISKS EBB

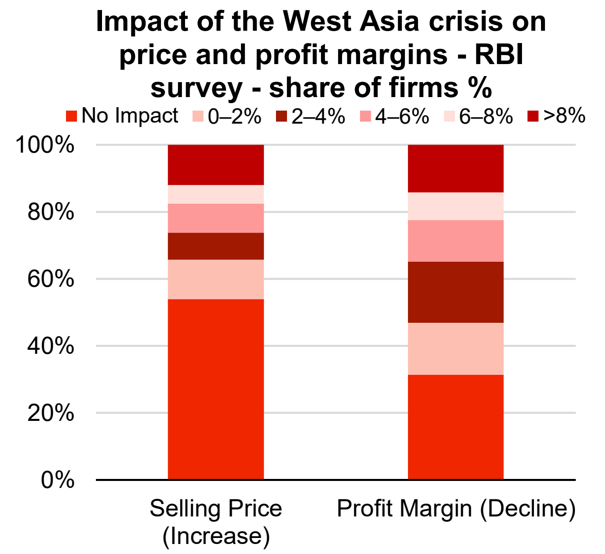
Since March 2026, the economic fallout of the Middle east crisis on overall trade has been relatively contained. Goods trade deficit between Mar26 to May26 was steady due to a combination of a sharp pick-up in nominal exports (record high in May26) helped by higher refined petroleum shipments, lower gold purchases due to duty increases and lower core imports. Diversification in export markets also played a part, with steady growth in shipments to the US and double-digit pace of increase in exports to China (25% yoy).

Average monthly trade deficit between Mar-May26 stood at $25.7bn vs $30.9bn in Jan-Feb26. Service exports have been firm, maintaining the Jan-Feb-26 run-rate, defying early concerns over AI-related slowdown in demand for software and capability centre services. **Limited deterioration in the trade account also reflected in the current account balance in April which generated a modest surplus.**



Source: CEIC, DBS

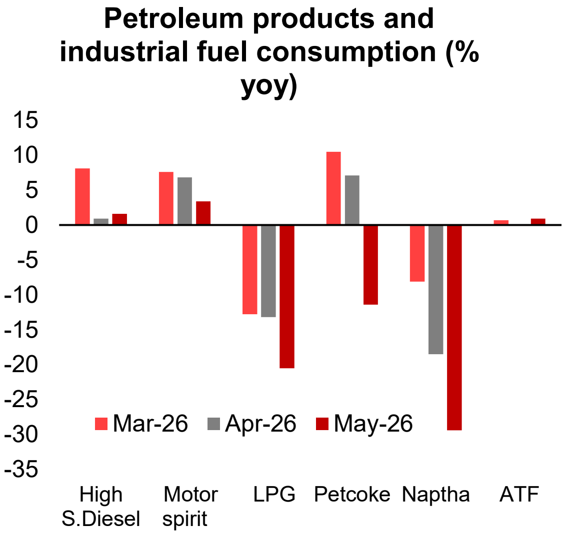
Amongst high-frequency activity indicators, the trend was mixed. PMI readings stabilised after a short-lived dip, remaining in expansionary terrain, besides resilient passenger vehicle sales, steady two-wheeler sales and firm capital production trends. PMI price sub-indices, however, pointed to an increase in producers' input costs. Results from the RBI Pulse survey – see chart – showed close to 46% of the firms surveyed witnessing an increase in selling prices.



Source: RBI, DBS

Consumption of petroleum products (LPG, transport fuels etc.) declined and industrial fuels (naptha, bitumen, petcoke etc) moderated in May. E-way bill generation and GST revenue growth also slowed, partly impacted by rationalisation moves in second half of 2025. Heatwaves and high temperatures led to a surge in power generation in 2Q26.

Meanwhile, the government plans to progress with the expansion of its strategic petroleum reserve (SPR) network, with five projects across Orissa, Madhya Pradesh, Rajasthan, Mangaluru and Padur (in Karnataka). Construction of one is likely to be awarded by end-FY27, while feasibility reports for two others might kickstart shortly.



Source: CMIE, DBS

In its sensitivity analysis, the RBI estimates that a 10% correction in oil prices, lifts growth by 15bp. With DBS baseline oil prices pointing to ~20% decrease from FYTD levels, our growth projection for FY27 stands revised up by 30bp to 6.8% yoy vs previous estimate of 6.5%. If oil prices stabilise around the lower end of our forecast range, annual growth could be closer to 7.0%.

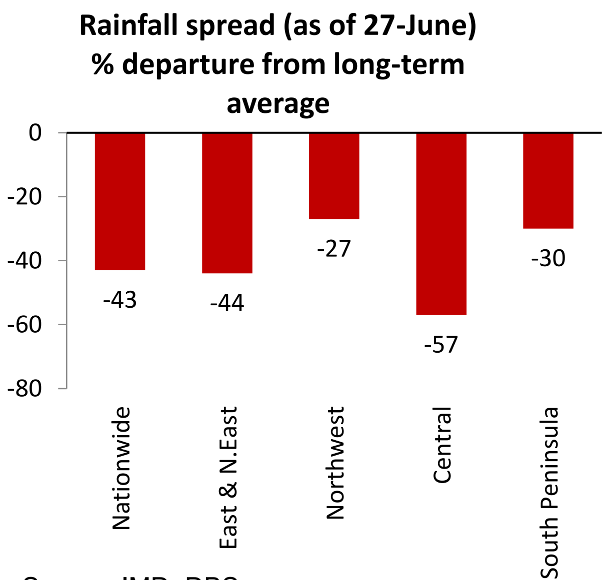
INFLATION RISKS – FUEL TO FOOD

Wholesale price index rose sharply to 9.7% yoy in May26, widening the wedge with the retail CPI inflation measure, which was at 3.9% yoy. The run-up in the WPI measure was driven by higher fuel, industrial raw materials, and manufacturing inflation, magnified by sharp depreciation in the currency, which further pushed up imported costs. While the sequential momentum will moderate, base effects and remnant cost push pressures will keep WPI inflation elevated in 2HFY27.

Retail CPI inflation has also been rising but a more modest pace since the start of the year. From average 2.1% yoy in FY26, the headline climbed to 3.9% yoy in May26, on higher food, base effects, transport/fuel and services (accommodation and restaurants). Domestic pump prices were revised by ~7% in the last month and we expect these revisions to stay to offset steep losses endured by the oil marketing companies. Improving fuel supplies, however, should have a salutary impact on LPG, LNG and fuel products.

From fuel to food. Monsoon progress will be crucial for the price outlook. IMD's updated forecast in June pointed to a 10% shortfall in this year's southwest monsoon. Yet far, the run-rate has been deficient at a nationwide deficit of 42%, with broad-based weakness across regions.

Sowing activity is keeping pace in June, although July and August trends will be key as these months account for more than two-third of the total precipitation. Adequate stock of foodgrains and satisfactory reservoir levels, also provide some comfort. As on 16-May, the rice and wheat stocks stood at 69.6mn tonnes (5.1x the buffer norm) and 46.5mn tonnes (6.2x the buffer norm), respectively. While there are ample foodgrain stocks, impact on prices/ inflation is likely to be more material in pulses, vegetables/ other perishables and oilseeds etc. **We retain our full-year inflation forecast of 4.9%.**

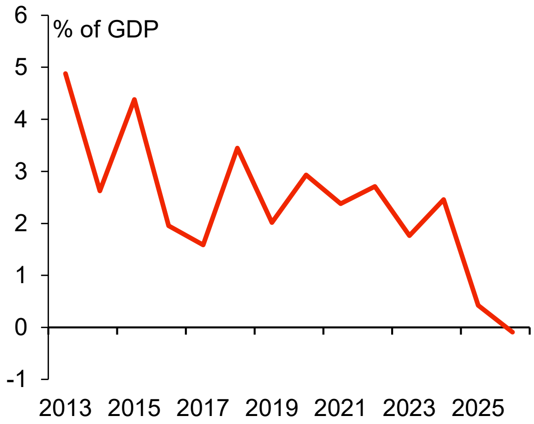


Source: IMD, DBS

CAPITAL ACCOUNT GETS A HAND FROM RBI/GOI

Weakening capital flows have been an enduring problem for the external balances for well over a year, dominated by a slowdown in foreign portfolio inflows, and narrower net FDI position. Cumulatively these had pushed the balance of payments position to a deficit in FY26, alongside a moderation in offshore borrowings.

BOP: Financing side (Capital account as % of GDP)



Source: GOI, RBI, CEIC, DBS

First quarter of FY27 proved to be a challenge as geopolitical risks and strong interest in AI-related (and value chain) stocks drew interests away from the Indian equity markets. Foreign outflows added up to -$13bn as of 24 June, while FPI debt inflows turned a corner in May-June. Net FDI stood at $6.5bn in Apr26, after totalling $6.9bn in FY26.

To support the capital account, **the RBI and government undertook a host of measures in June 2026 to shore up inflows, which included (see table):**

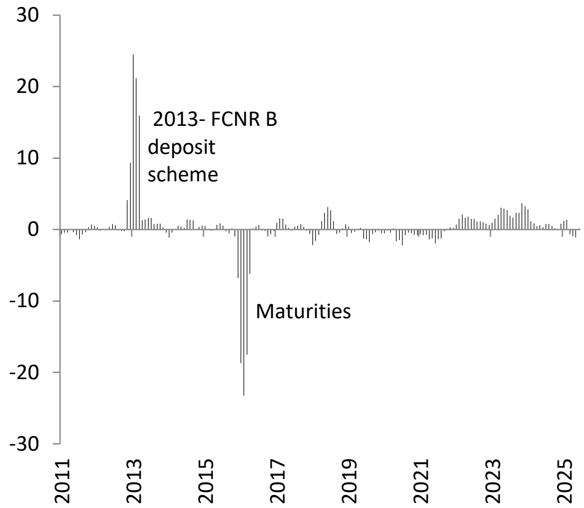
- **Expansion of FAR securities**: Universe of eligible securities under the Fully Accessible Route (FAR) was widened to include all new issuances of 15Y, 30Y, and 40Y G-secs. In addition, limits pertaining to short-term investment, concentration and individual securities on investment under the General Route were also removed.
- **FPI tax liberalisation**: Withholding tax (of 20%) and long-term capital gains tax on debt investors into FPI debt will be lifted, thereby drawing in more FPI inflow into Gsecs. This also paves the way for inclusion into other global FI benchmarks as well as adoption into the Euroclear platform.
- **Boost investment inflows from non-residents**: Limits for investment by NRIs and OCIs in equity instruments traded on the stock market without SEBI registration are being increased. This same facility was also extended to all individual Persons Resident Outside India (PROIs). This formalises changes announced by the government in the Budget.
- Concessional forex swap will be provided till 30th September 2026 to **incentivize ECBs** by public sector entities. Details on the final pricing is being awaited. Industry watchers peg the share of PSUs in outstanding ECBs at 35-40%.
- **FCNR (B) deposits**. Facility under which full hedging costs will be provided (by the RBI) till Sep26 for Authorised dealers (ADs) to raise fresh 3–5-year FCNR (B) deposits. This scheme mirrors the move back in 2013 (discounted swap; attracted $26bn in deposits and $34bn on wider concessional swap facilities) to draw in non-resident deposits but will necessitate a higher subsidy by the RBI in the context of higher US rates currently vs 2013. Arbitrage is attractive (spread between USD & INR is at ~250bp), despite being lower than past cycle. These will be exempt from CRR/ SLR, and leverage will be permitted.
- **Export realisation timeline**: Restore the time for realisation of export proceeds to nine months, from 15 months earlier. This will draw dollar flows by the exporters, helping to make trade-related flows more balanced and limit one-sided pressure on the rupee.

Measure	By	Estimated Size
FPI liberalisation	GOI	$20-25bn potential if added into global benchmarks; impact more likely in FY28
Expansion of Fully Accessible Route (FAR) to additional long-dated G-Secs	RBI	~$10–20bn over 12–24 months
Incentives for FCNR(B) deposits and NRI deposits	RBI	~$40-50bn
Concessional FX swap facility – ECBs to PSUs	RBI	~$10-15bn incremental inflows
Export realisation timeline	RBI	~$10–20 bn
Relaxation of investment norms for non-residents	RBI/GOI	~$3-$5bn

Source: RBI, DBS

To be sure, fresh deposits into the FCNR (B) deposits had been modest before this scheme (see chart). **By various yardsticks, there is reason to be optimistic at the scale of fresh dollar flows under the deposit and ECB schemes**. In 2013, when a similar FCNR (B) and overseas borrowing program were introduced, total inflows amounted to ~12.8% of FX reserves and ~2% of GDP. Assuming the same scale this year, total inflows could amount to ~$70-$75bn. With US rates, however, being higher this time around than 2013 and consequently narrower spreads, we are opting to be conservative with an assumption of $40-$50bn worth inflows. Debt-FAR category has, meanwhile, attracted strong foreign inflows of ~$5bn+ in June 2026 alone, on likely front-running flows i.e., expectations that India's eligible papers will be included in Bloomberg's Global aggregate indices in the upcoming review. Tax breaks have also been a strong draw.

FCNR B deposits ($bn)



Source: CEIC, DBS

Inflows from the FCNR(B) scheme (open till Sep26) and increase in ECBs will have **second-derivative impact on the domestic financial system**. While the FX swap makes the transaction (of incoming dollars), neutral on INR spot, rupee borrowing costs to ease, decrease in ECB funding costs for PSUs (and spillover benefits to rest), and liquidity surplus to widen, necessitating nimble market operations by the central bank. A host of institutions have also raised dollar bonds in the past fortnight, though the supply surge has led to a temporary widening in yields, resulting in a scaled back pipeline.

BOP implications

In midst of the US-Iran conflict, India's balance of payments was on course to register a third consecutive annual deficit in FY27, a first. The scale of the gap hinged on the underlying oil price assumption and risk sentiments. Prior to the cessation in tensions, our baseline forecast was for a -$65bn BOP deficit, which could potentially widen to >-$80bn if the conflict dragged on. **With the ceasefire in place and oil prices having corrected sharply, we revisit our current account (to account for lower oil, gold curbs) and capital account (RBI/GOI measures)**. We now expect a BOP surplus as highlighted in the table below.

Balance of payments (USDbn)

	FY26	FY27E (Conflict)	FY27E (Revised)
a. Current account	31.8	*80.0*	*45.0*
as % of GDP	*0.8*	*2.0*	*1.1*
Merchandise	337.0	360.0	335.0
Invisibles	312.0	280.0	290.0
b. Capital account	1.9	*9.9*	*67.0*
as % of GDP	0.0	0.2	1.7
BOP (-ve in red)	35.5	65.0	22.0

Source: RBI, DBS; Annual (-ve values in red)

FISCAL AND MARKET IMPLICATIONS

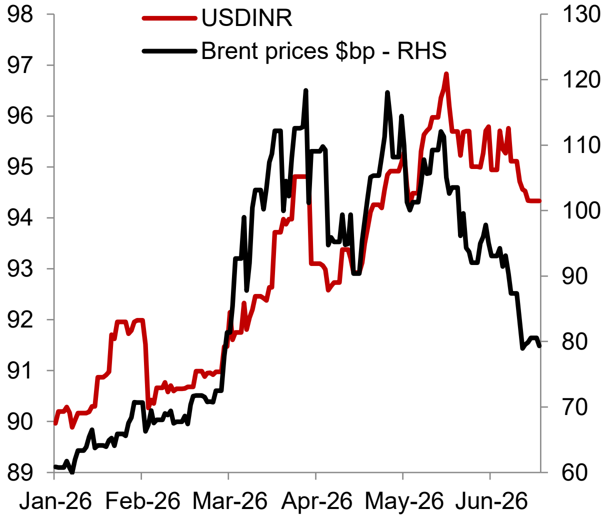
The need to accommodate higher subsidies and lower revenue growth is likely to result in a modestly wider fiscal deficit in FY27.

While a pullback in energy costs lowers the potential burden on the exchequer, we expect subsidy support to stay elevated due to the need to pick additional costs from 1QFY27 as well as offset potential impact on the rural economy from a strong El Nino development.

Factoring in a) economic stabilisation fund buffer (+0.25% of GDP), higher non-tax revenue and slightly higher nominal GDP growth, on one hand; b) on the other hand, cost of excise duty cut and higher subsidies to **result in ~0.3% of GDP slippage risk vs budgeted -4.3% of GDP**. Markets and rating agencies are likely to look past this modest slippage, factoring in the broader positive track record of fiscal consolidation at the centre in recent years.

Risk sentiment towards asset markets of oil-dependent economies benefited significantly on the US-Iran peace deal announcement. India's equity, bonds, and rupee have gained ground this month, further fuelling a turnaround that was already underway since the RBI announced BOP-supportive measures on 5-June

USDINR and Brent prices



Source: CEIC, DBS

In the near-term, there is scope for further downside in the USDINR on expectations of these flows and lower commodity prices. Further out., we expect authorities to prefer absorbing incremental dollar flows to boost the reserves position, paving the way for a gradual rise in the USDINR.

Benchmark bond yields are likely to stay capped at the short-end and 10Y part of the curve as lower oil prices lead to a reassessment in associated macroeconomic risks. Rate hike expectations have been scaled back after the June MPC minutes and recent comments from the RBI Governor where he said that rate hike talks were premature and any such intention would have pre-empted by a shift to a tightening stance in June. For inflation, geopolitics were a bigger worry rather monsoon for the central bank, in our view. **We remove our rate hike forecast for FY27** and see downside to our end-year forecast for 10Y yield forecast of 6.9%.

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DBS Flash

Singapore: GDP growth upgrade

30 June 2026

Chua Han Teng, CFA
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- *Singapore's economy has weathered resiliently the renewed geopolitical shocks stemming from the war in the Middle East since its onset in late February.*
- *We raise our real GDP growth forecasts for 2026 and 2027 to 4.3% and 3.0%, respectively.*
- *Our nowcast estimate shows economic growth at 5+% yoy in 2Q26, concluding 1H26 in solid shape.*
- *De-escalation of US-Iran tensions reduces stagflationary forces and downside growth risks.*
- *Sustained global AI cycle, financial services momentum, and construction boom underpin the positive outlook.*

Dialling up our growth profile

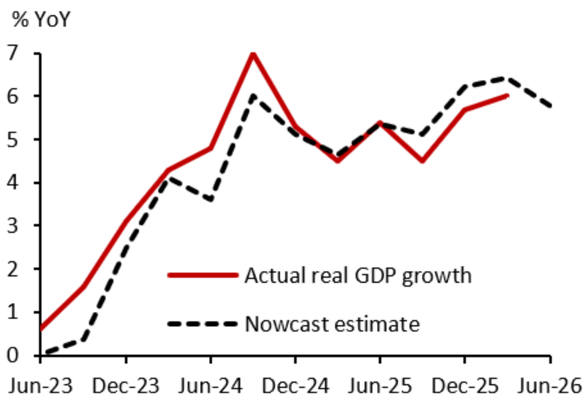
Singapore's economy has weathered resiliently the renewed geopolitical shocks stemming from the war in the Middle East since its onset in late February. Economic growth likely ended 1H26 in solid shape, providing positive carryover effects into 2H26.

We raise our real GDP growth forecasts for 2026 and 2027 to 4.3% and 3.0%, respectively (from 2.8% and 2.3%). As we enter 2H26, the managed de-escalation of US-Iran tensions, initiated by an interim peace deal, reduces the risks of escalating input cost pressures, persistent severe supply chain disruptions, and significantly weakened external demand in the coming months. We are dialling up our growth profile over the next few quarters, although this will be tempered by high base effects.

Our nowcast shows resilient 2Q26 growth

Following strong economic growth of 6.0% yoy in 1Q26, expansion in 2Q26 likely proved resilient, with our nowcast model estimating growth of above 5% yoy.

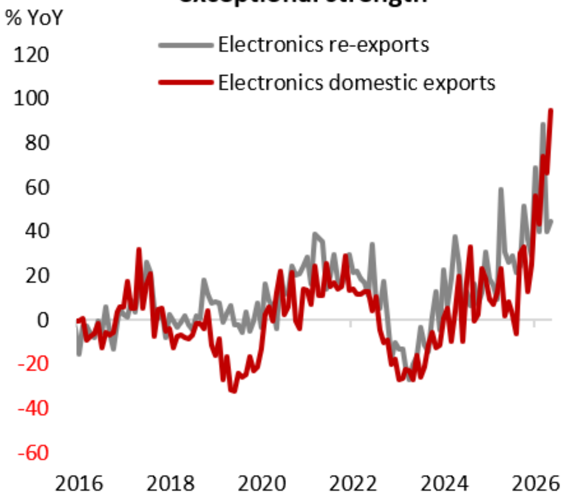
Our nowcast shows resilient growth in 2Q26



Source: CEIC, DBS.
Note: The nowcast is a model estimate of real GDP growth based on available economic data for the current quarter and forecasts of explanatory variables for the remaining term, and is not our DBS forecast.

This performance was driven notably by above-average industrial production and re-exports, reflecting robust expansion in trade-related sectors, such as manufacturing and wholesale trade, while real credit remained stable. Strong artificial intelligence (AI)-driven external demand has turbocharged Singapore's electronics exports, pushing growth to exceptional rates so far in 2026. This strength has significantly outweighed drags from the fuels & chemicals segments, as well as moderation in the transport sector, which has borne the brunt of disruptions in the Strait of Hormuz, including constrained feedstock supply and an energy price surge since March.

Electronics exports experiencing exceptional strength



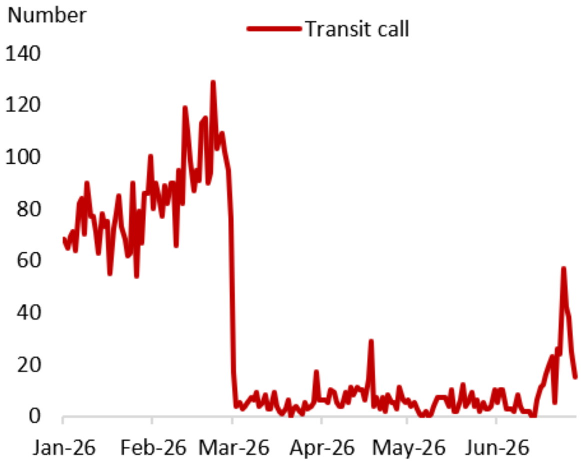
Source: CEIC, Singstat, DBS

2H26 outlook turning positive

Singapore's growth outlook for 2H26 is turning positive amid the US-Iran interim peace deal reached in mid-June to de-escalate tensions in the Middle East. Negotiations between the US and Iran are underway, with both sides establishing diplomatic channels to advance talks over the next 60 days, aimed at reaching a lasting agreement. Nevertheless, developments are likely to ebb and flow amid a fragile truce.

Maritime traffic through the Strait of Hormuz is resuming but flows of critical input supplies from the Middle East – including oil & gas – are likely to take time, possibly months, to gradually normalise to pre-war levels, as confidence in transiting the Strait rebuilds. Global energy prices have declined in response to reduced geopolitical risk premiums and improving supply. Consequently, stagflationary forces and downside growth risks facing the global economy have receded.

Marine traffic through Strait of Hormuz recovering gradually



Source: IMF PortWatch, Bloomberg, DBS

We expect Singapore's economy to receive positive spillovers through three channels.

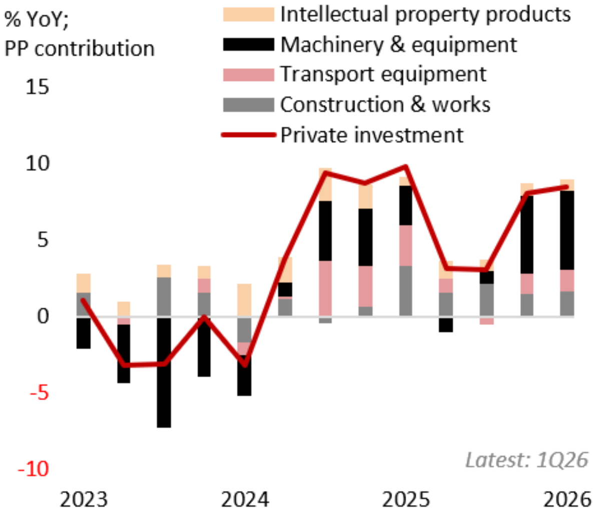
1) Financial market, business, and consumer confidence would improve with de-escalated geopolitical tensions.

2) Top energy-dependent sectors - from petroleum and petrochemicals to transport - will gain crucial relief from improved availability of imported energy and commodity inputs, enabling a potential rebound in output in the coming months.

3) The risk of intensifying upward cost pressures that could severely erode profit margins has decreased. Business investment and spending would therefore continue to keep flowing. Singapore is

experiencing a broad-based investment boom. Notably, private investment expanded for the eighth consecutive quarter as of 1Q26, supported by strength in machinery & equipment outlays.

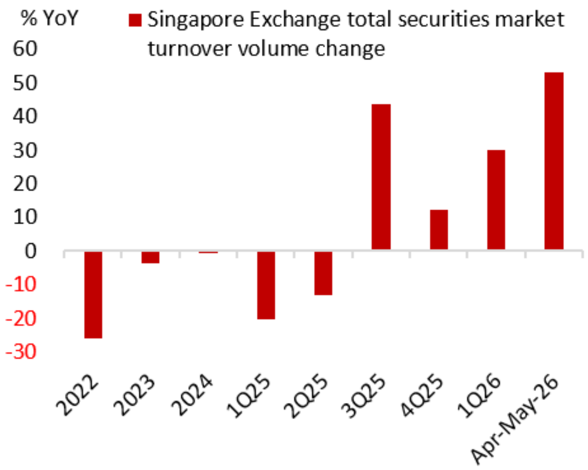
Sustained private investment expansion



Source: CEIC, Singstat, DBS

Alongside fading downside risks from the Hormuz shock, the global AI-driven technology cycle - which has propelled Singapore's stellar growth performance in recent quarters - appears to have further room to run. Durable and undiminished capital spending commitments by major hyperscalers to ramp up AI infrastructure will underpin demand for Singapore's memory chips, server-related products, and semiconductor equipment. The strength displayed by the electronics manufacturing purchasing managers' index as of May 2026 – the highest since August 2018 – points to a supportive outlook in the coming months, even if the exceptional pace of chips export growth finds a more sustainable trajectory.

Equities market sees strengthening momentum



Source: SGX, MTI, DBS

Additionally, key non-technology segments should remain resilient. We expect financial services within the modern services cluster to continue to demonstrate strength. This is supported by increasingly vibrant capital market activity backed by rising momentum in securities trading volumes, and a recovery in initial public equity offerings amid ongoing reforms. Domestic financial conditions remain accommodative, with rising equities and still-low interest rates. Flush liquidity amid capital inflows has helped limit the impact of upward pressure on local interest rates from hawkish re-pricing of US rate expectations. The ongoing multi-year construction boom, spanning major transport, hospitality, and public housing projects, is also providing an additional layer of support to the highly open economy.

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The Week Ahead

Forecasts, data preview, central bank watch

26 June 2026

KEY DATA RELEASES AND EVENTS NEXT WEEK

- South Korea's June exports to stay strong, supporting AI trades.
- Indonesia's and South Korea's June CPI to edge higher, reinforcing rate hike expectations.
- Vietnam's 2Q GDP growth to hold steady at 7.8%.

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The Week Ahead covers the key data releases and central bank events of the coming week, collating our macro forecasts.

KEY FORECASTS FOR THE COMING WEEK

June 29 (Mon)		
India: industrial production (May)	3.6% y/y	4.9% y/y
June 30 (Tue)		
South Korea: industrial production (May)	4.3% y/y	1.5% y/y
Japan: industrial production (May)	1.6% y/y	2.0% y/y
July 1 (Wed)		
South Korea: exports (May)	58.9% y/y	53.4% y/y
- imports	22.0% y/y	20.7% y/y
- trade balance	USD33.1bn	USD27.0bn
Indonesia: exports (May)	1.6% y/y	22.0% y/y
- imports	18% y/y	22.5% y/y
- trade balance	USS1.0bn	USD90mn
- CPI (Jun)	3.3% y/y	3.1% y/y
Eurozone: CPI (Jun)	3.2% y/y	3.2% y/y
July 2 (Thu)		
South Korea: CPI (Jun)	3.4% y/y	3.1% y/y
July 3 (Fri)		
Vietnam: GDP (2Q)	7.8% y/y	7.8% y/y
Vietnam: exports (June)	20.5% y/y	18.0% y/y
- imports	36.0% y/y	33.8% y/y
- trade balance	-USD2.3bn	-USD5.2bn
- retail sales YoY YTD (June)	11.4% y/y	11.2% y/y
Vietnam: CPI (June)	5.0% y/y	5.6% y/y

FORTHCOMING DATA RELEASES

South Korea

June trade and inflation data will be the key focus ahead. Exports are expected to maintain strong growth of 50-60% yoy for the fourth consecutive month, based on the preliminary data for the first 20 days of June, which showed a 60.4% yoy increase. The trade surplus is expected to widen to above USD30bn, compared with USD27bn in the previous month. AI-driven demand and rising memory chip prices continue to support South Korea's semiconductor exports, helping to offset higher energy import costs.

On the inflation front, headline CPI is expected to accelerate further to 3.4% yoy from 3.1% in the previous month, remaining above the 3% threshold for the second consecutive month. Core CPI is also expected to rise to 2.7% from 2.5%. Imported inflationary pressures are building amid accumulated raw material cost increases and KRW weakness.

The Bank of Korea has signaled a bias toward rate hikes to contain inflation expectations and prevent broader second-round inflation effects. We expect a 25bps rate hike to 2.75% in July, followed by another 25bps hike to 3.00% in 4Q.

Vietnam

We expect Vietnam's real GDP to expand by 7.8% yoy in 2Q26, remaining firm compared with 7.8% yoy in 1Q26. Growth momentum remained robust in 2Q26, underpinned by strong electronics manufacturing activity and shipments, which benefitted from the global technology upcycle driven by artificial intelligence tailwinds, supportive foreign direct investments, and resilient retail spending, despite challenges from the Middle East conflict and high base effects. We anticipate headline inflation to ease to 5.0% yoy in June 2026 from 5.6% yoy in May. This moderation primarily reflected receding transport inflation due to the unwinding of global and domestic energy price pressures, amid a de-escalation of Middle East tensions following a US-Iran interim peace deal, while other components such as food and housing remained sticky. The central bank's refinancing rate remained steady in 2Q26, and policymakers have room to maintain this path to support high growth objectives, given easing energy prices and a stable currency, notwithstanding hawkish US Fed expectations.

GROWTH, INFLATION, POLICY RATES & FX FORECASTS

	GDP GROWTH, % YOY				CPI INFLATION, % YOY			
	2024	2025	2026f	2027f	2024	2025	2026f	2027f
CHINA	5.0	5.0	4.5	4.0	0.2	0.0	1.2	1.5
HONG KONG	2.5	3.5	3.0	2.8	1.5	1.4	1.6	1.5
INDIA	6.7	7.8	6.5	6.4	4.9	2.2	4.5	4.2
*INDIA (FISCAL YEAR) **	*6.5*	*7.7*	*6.5*	*6.4*	*4.6*	*2.1*	*4.9*	*4.0*
INDONESIA	5.0	5.1	5.1	5.1	2.3	1.9	3.2	2.2
MALAYSIA	5.1	5.2	4.7	4.2	1.8	1.4	2.0	2.0
PHILIPPINES**	5.6	4.5	4.7	5.0	3.2	1.7	6.5	4.0
SINGAPORE	5.3	5.0	2.8	2.3	2.4	0.9	2.2	2.0
SOUTH KOREA	2.0	1.0	2.6	2.0	2.3	2.1	2.6	2.1
TAIWAN	5.3	8.8	9.4	3.5	2.2	1.7	1.9	1.8
THAILAND	2.9	2.4	1.6	2.0	0.4	-0.1	2.5	1.5
VIETNAM	7.0	8.0	6.5	6.5	3.6	3.3	4.8	3.3
EUROZONE	0.7	1.5	1.0	1.2	2.3	2.2	3.1	2.1
JAPAN	-0.2	1.2	0.5	0.5	2.7	3.2	1.8	1.8
UNITED STATES***	2.8	2.0	1.9	1.7	3.0	2.7	3.5	3.0

** 2020 = Fiscal year Apr20-Mar21 ** new CPI series *** eop for CPI inflation*

POLICY INTEREST RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
CHINA*	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
INDIA	5.25	5.25	5.25	5.50	5.75	5.75	5.75	5.75
INDONESIA	4.75	5.75	6.00	6.00	6.00	6.00	6.00	6.00
MALAYSIA	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
PHILIPPINES	4.25	4.75	5.25	5.25	5.25	5.25	5.25	5.25
SINGAPORE**	1.20	1.20	1.20	1.20	1.20	1.20	1.20	1.20
SOUTH KOREA	2.50	2.50	2.75	3.00	3.00	3.00	3.00	3.00
TAIWAN	2.00	2.00	2.00	2.13	2.13	2.13	2.13	2.13
THAILAND	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
VIETNAM***	4.50	5.00	5.00	5.00	5.00	5.00	5.00	5.00
EUROZONE^	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
JAPAN	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
UNITED STATES	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75

** 1-yr Loan Prime Rate; ** 3M SORA OIS ; *** refinancing rate; ^ deposit facility rate*

EXCHANGE RATES, EOP

	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
USD/CNY	6.89	6.83	6.77	6.70	6.74	6.78	6.81	6.85
USD/HKD	7.84	7.82	7.81	7.81	7.81	7.81	7.80	7.80
USD/INR	94.8	96.7	97.1	97.4	97.8	98.2	98.6	98.9
USD/IDR	17041	17990	18060	18130	18200	18270	18340	18410
USD/MYR	4.05	3.91	3.85	3.80	3.85	3.90	3.95	4.00
USD/PHP	60.7	62.1	62.4	62.7	63.0	63.3	63.6	63.9
USD/SGD	1.29	1.27	1.26	1.25	1.26	1.27	1.27	1.28
USD/KRW	1516	1470	1435	1400	1415	1425	1440	1450
USD/THB	32.6	32.1	31.6	31.0	31.4	31.8	32.1	32.5
USD/VND	26340	26230	26110	26000	26130	26250	26380	26500
AUD/USD	0.69	0.71	0.72	0.73	0.73	0.72	0.72	0.71
EUR/USD	1.16	1.18	1.19	1.21	1.20	1.19	1.18	1.17
USD/JPY	159	156	153	149	151	152	153	154
GBP/USD	1.32	1.36	1.39	1.41	1.40	1.39	1.38	1.37

INTEREST RATE FORECASTS

		2026				2027			
		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
US	3M SOFR OIS	3.68	3.65	3.65	3.65	3.65	3.65	3.65	3.65
	2Y	3.79	3.80	3.85	3.85	3.90	3.95	3.95	3.95
	10Y	4.32	4.30	4.40	4.50	4.55	4.60	4.65	4.65
	10Y-2Y	52	50	55	65	65	65	70	70
Japan	3M TIBOR	1.27	1.40	1.45	1.50	1.55	1.75	1.75	1.75
	2Y	1.35	1.45	1.55	1.70	1.80	1.90	1.90	1.90
	10Y	2.35	2.60	2.65	2.70	2.70	2.70	2.75	2.75
	10Y-2Y	100	115	110	100	90	80	85	85
Eurozone	3M EURIBOR	2.08	2.45	2.70	2.70	2.70	2.70	2.70	2.70
	2Y	2.62	2.55	2.55	2.60	2.65	2.70	2.70	2.70
	10Y	3.00	3.00	3.10	3.20	3.25	3.30	3.30	3.30
	10Y-2Y	39	45	55	60	60	60	60	60
Indonesia	IDR 3M OIS	4.12	5.40	5.90	5.90	5.90	5.90	5.90	5.90
	2Y	6.31	7.10	6.90	6.85	6.80	6.75	6.75	6.70
	10Y	6.86	7.20	7.00	6.95	6.90	6.90	6.90	6.90
	10Y-2Y	55	10	10	10	10	15	15	20
Malaysia	3M KLIBOR	3.37	3.35	3.35	3.35	3.35	3.35	3.35	3.35
	3Y	3.26	3.25	3.25	3.25	3.25	3.25	3.25	3.25
	10Y	3.63	3.60	3.65	3.65	3.65	3.65	3.70	3.70
	10Y-3Y	37	35	40	40	40	40	45	45
Philippines	3M NDF implied yield	6.09	5.05	5.55	6.05	6.05	6.05	6.05	6.05
	2Y	5.42	6.00	6.10	6.20	6.25	6.30	6.35	6.35
	10Y	6.98	7.50	7.65	7.75	7.80	7.85	7.90	7.95
	10Y-2Y	156	150	155	155	155	155	155	160
Singapore	3M SORA OIS	1.16	1.20	1.20	1.20	1.20	1.20	1.20	1.20
	2Y	1.61	1.50	1.55	1.60	1.62	1.65	1.67	1.70
	10Y	2.29	2.10	2.20	2.20	2.25	2.25	2.30	2.30
	10Y-2Y	68	60	65	60	63	60	63	60
Thailand	3M BIBOR	1.15	1.15	1.15	1.15	1.15	1.15	1.15	1.15
	2Y	1.41	1.30	1.35	1.35	1.45	1.50	1.50	1.50
	10Y	2.23	2.45	2.55	2.60	2.70	2.75	2.80	2.90
	10Y-2Y	82	115	120	125	125	125	130	140
China	1Y LPR	3.00	3.00	3.00	3.00	3.00	3.00	3.00	3.00
	2Y	1.37	1.25	1.25	1.25	1.25	1.25	1.25	1.25
	10Y	1.86	1.75	1.75	1.80	1.80	1.85	1.85	1.85
	10Y-2Y	48	50	50	55	55	60	60	60
Hong Kong, SAR	3M HIBOR	2.36	2.75	2.75	2.75	2.75	2.75	2.75	2.75
	2Y*	2.82	2.80	2.85	2.85	2.90	2.95	2.95	2.95
	10Y*	3.08	3.30	3.40	3.50	3.55	3.60	3.65	3.65
	10Y-2Y	26	50	55	65	65	65	70	70
Korea	3M CD	2.82	3.00	3.10	3.20	3.20	3.20	3.20	3.20
	3Y	3.56	3.50	3.60	3.75	3.75	3.75	3.75	3.75
	10Y	3.88	4.00	4.20	4.25	4.25	4.25	4.25	4.25
	10Y-3Y	32	50	60	50	50	50	50	50
India	3M MIBOR	7.25	6.75	6.75	6.75	6.75	6.75	6.75	6.75
	2Y	6.37	6.25	6.30	6.30	6.35	6.35	6.35	6.35
	10Y	7.04	6.95	6.95	6.90	6.90	6.90	6.85	6.85
	10Y-2Y	67	70	65	60	55	55	50	50

%, eop, govt bond yield for 2Y and 10Y, spread bps
Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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DBS Flash

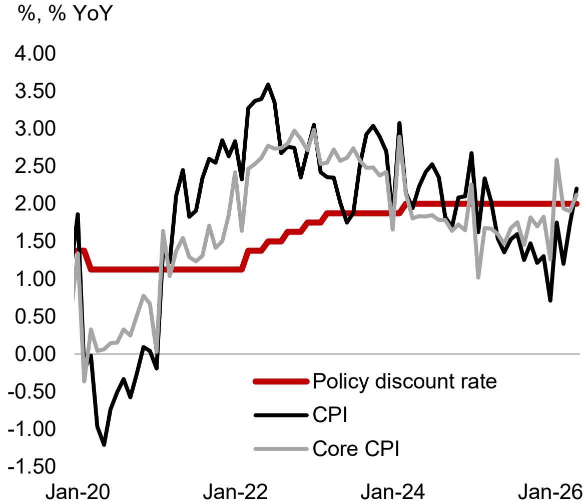
Taiwan: CBC maintains a slightly hawkish policy bias

19 June 2026

- Taiwan's central bank kept its policy rate unchanged at 2.00% at the June 18 meeting, while maintaining a slightly hawkish bias
- The CBC also left its LTV restrictions on housing mortgage loans unchanged
- The CBC reminded banks to strengthen risk management amid the expansion of stock market-related credit
- We continue to forecast a 12.5bp rate hike in 2H, but shift the expected timing to 4Q from 3Q
- We also expect existing property-sector credit controls to remain in place
- Policymakers may also seek to curb excessive leverage in equity markets

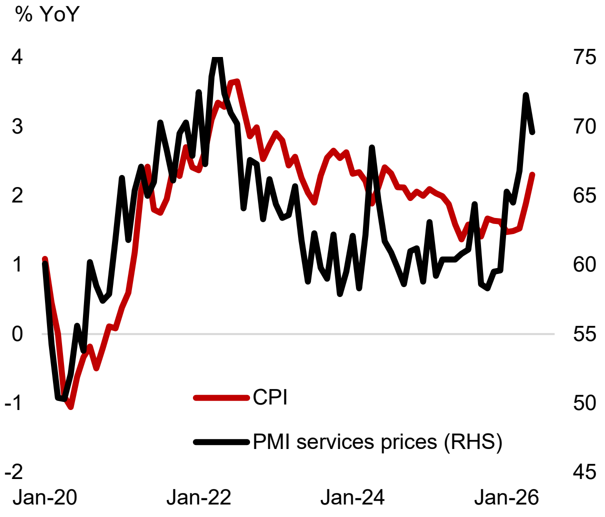
Taiwan's central bank kept its policy rate unchanged at 2.00% at the June 18 meeting, while maintaining a slightly hawkish bias. The CBC raised its 2026 GDP growth forecast to 9.45% (from 7.28%) and increased its CPI inflation forecast to 1.91% (from 1.80%). Governor Yang disclosed that 2 of the 15 board members voted for a rate hike at this meeting. However, he emphasized that pressure for a rate hike is not imminent, as inflation remains around 2%. The CBC will continue to monitor inflation developments in 2H and maintain a data-dependent policy approach.

CBC policy rate vs. CPI inflation



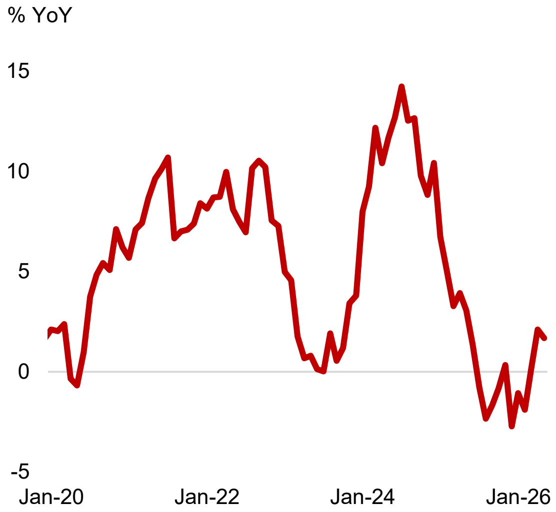
Sources: CEIC, DBS

Taiwan: CPI vs. PMI services prices



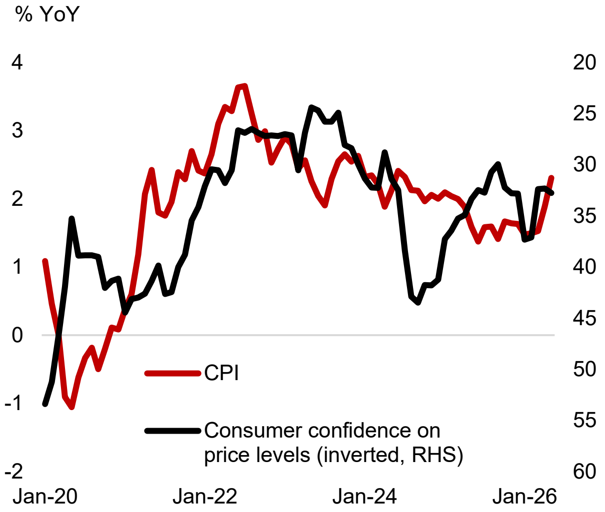
Sources: CIER, CEIC, DBS

Taipei: Sinyi residential property prices



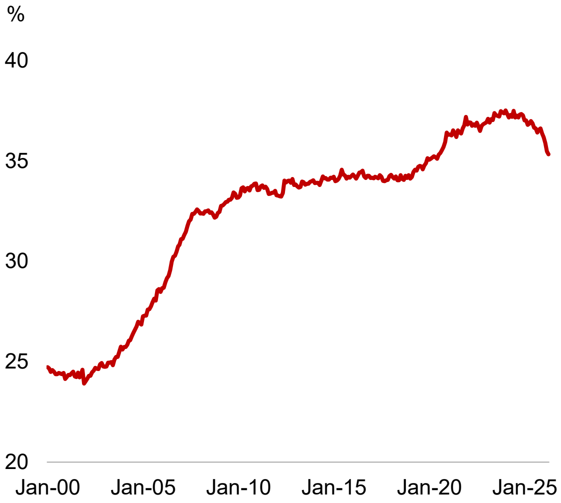
Sources: CEIC, DBS

Taiwan: CPI vs. inflation expectations



Sources: CEIC, DBS

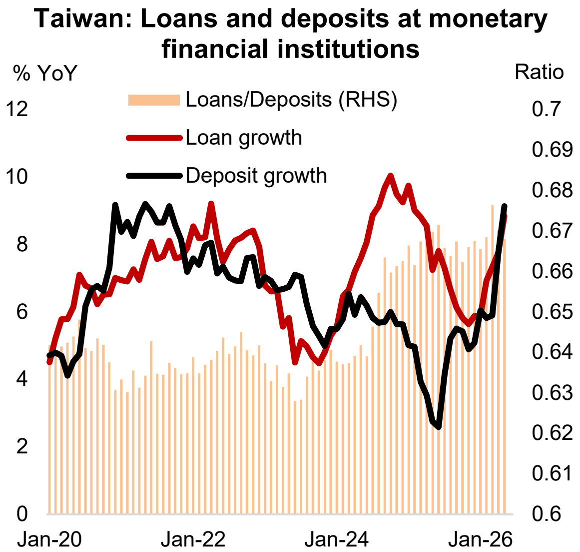
Taiwan: Real estate loans / Total bank loans



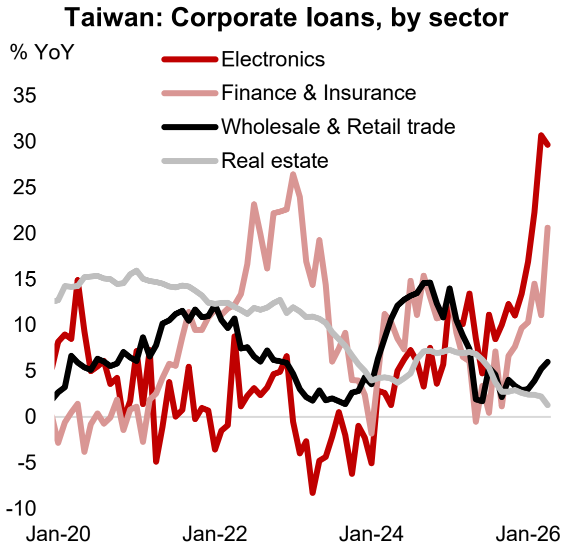
Sources: CEIC, DBS

The CBC also left its LTV restrictions on housing mortgage loans unchanged. The central bank noted that property transactions have cooled, house price appreciation has moderated, and banks' concentration in real estate lending has improved following the credit control measures introduced since August 2024. However, it also pointed out that outstanding real estate loan balances continue to rise, while the decline in the real estate loan concentration ratio partly reflects stronger growth in other lending categories, particularly credit related to stock market activities.

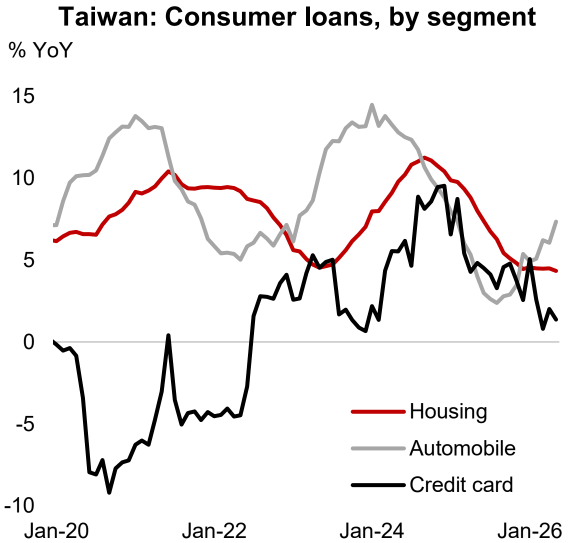
In addition, the CBC reminded banks to strengthen risk management amid the expansion of stock market-related credit. Against the backdrop of a strong equity market, there has been significant growth in both personal wealth-management revolving loans and banks' lending and investment financing to securities firms, futures companies, and financial support service providers.



Sources: CEIC, DBS



Sources: CEIC, DBS



Sources: CEIC, DBS

We continue to forecast a 12.5bp rate hike in 2H, but shift the expected timing to 4Q from 3Q. The CBC appears comfortable with inflation around 2% and real interest rates near zero at present. A decisive rate hike would likely require CPI inflation to exceed 2.5% or remain above 2.0% for an extended period—such as six months—thereby influencing public inflation expectations. Given the recent decline in oil prices, the risk of CPI inflation exceeding 2.5% during Jun–Dec has diminished. However, the risk of inflation remaining above 2% throughout 2H remains intact.

We also expect existing property-sector credit controls to remain in place. The CBC is likely to remain cautious about broader asset price inflation pressures in 2H. Continued strength in the stock market could boost wealth effects, spill over into the property market, and eventually revive housing transactions and house price growth.

Policymakers may also seek to curb excessive leverage in equity markets through moral suasion, window guidance, and enhanced prudential examinations in 2H.

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